# Payroll in Kenya: The Statutory Deductions Every Employer Should Understand

Running payroll is more than paying salaries on time. Each month an employer must calculate, deduct, declare and remit several statutory amounts, and mistakes can mean penalties and unhappy employees.

Review date: _____ Reviewed by: _____

## Key points

• Know which deductions apply to your business and which authority receives each one.

• Calculate from current rates and keep your payroll data accurate.

• Reconcile, file and remit on time, every month.

## The main statutory items

Most employers deal with a combination of the items below. Rates, thresholds and deadlines are set by law and by each authority, and they change, so always confirm the current position before you run payroll.

- ☐ PAYE (income tax), declared and paid to the Kenya Revenue Authority
- ☐ NSSF contributions, made by both employee and employer
- ☐ SHIF contributions, paid to the Social Health Authority
- ☐ Affordable Housing Levy, contributed by both employee and employer
- ☐ NITA levy, where it applies to your business

## Build a reliable monthly routine

Treat payroll as a calendar, not a rush. Confirm changes to staff, pay, leave and allowances early in the month, run the calculations, have a second person review them, then pay and remit by the deadlines each authority sets.

- ☐ A cut-off date for changes
- ☐ Calculation and independent review
- ☐ Payslips issued with each payment
- ☐ Remittance and filing
- ☐ Reconciliation and record filing

## Keep records you can defend

Retain payslips, calculation workings, remittance confirmations and each employee's tax and social security details in an organised file. If an authority or an employee raises a question, you want the answer in minutes, not days.

## Common mistakes

- [ ] Using outdated rates
- [ ] Missing new joiners' registration details
- [ ] Late remittance
- [ ] Treating allowances inconsistently
- [ ] No second-person review

This article is general information, not tax or legal advice. Confirm current rates and deadlines with the relevant authority or a qualified adviser.